Edexcel A Level Business

Your notes

2.1 Raising Finance

Contents

Introduction to sources of finance

- All businesses need finance to get started, allow them **to grow** and fund their continuing activity
- Finance may be needed for **capital expenditure**, which is spending on fixed assets such as equipment, buildings, IT equipment and vehicles
- Similarly, finance is required for **revenue expenditure**, which is spending on raw materials or day-to-day expenses, such as wages or utilities
- Businesses have **different sources of finance** available to them
  - When the finance comes from inside the business, it is called an **internal source of finance**
  - When the finance comes from outside the business, it is called an **external source of finance**

Sources of internal finance

- Internal finance comes from the **owner's capital, retained profit or the sale of assets**

Owner's capital: personal savings

- Personal savings are a key source of funds when a **business starts up**
  - Owners may introduce their savings or another lump sum, e.g. money received from a **redundancy** payment
- Owners may invest more as the **business grows** or if there is a specific need, e.g. a short-term **cash flow** problem

Retained profit

- The profit that has been generated in previous years and not distributed to owners **is reinvested** into the business
- This is a cheap source of finance, as it **does not involve borrowing** and the associated **interest** and arrangement fees
- The **opportunity cost** of investing the money back into the business is that **shareholders do not receive extra profit** for their investment

Sale of assets

- Selling business **assets** that are no longer required (e.g. machinery, land, buildings) generates a source of finance
- A **sale and leaseback arrangement** may be made if a business wants to continue to use an asset but needs cash

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  - The business **sells an asset** (most likely a building) for which it receives cash
  - The business then **rents the premises** from the new owners
  - E.g. in early 2023, Sainsbury's announced that it was in talks to **sell its prime retail property** for £500 million, which would then be **leased back** to the business by the new owners, LXi Reit
- A business can also generate additional finance internally by managing its **working capital** more effectively
  - It can **negotiate extended payment terms** with suppliers
  - It can encourage customers to **pay more promptly** for credit purchases

Advantages and disadvantages of using internal finance

Advantages	Disadvantages
▪ Internal finance is **often free** (e.g. it does not involve the payment of interest or charges) ▪ It does not involve third parties who may want to **influence business decisions** ▪ Internal finance can usually be organised very quickly and without significant paperwork ▪ Businesses that may **fail credit checks (necessary for a bank loan)** can access internal finance sources more easily	▪ There is a **significant opportunity cost** involved in the use of internal finance; i.e. once retained profit has been used, it is not available for other purposes ▪ Internal finance **may not be sufficient** to meet the needs of the business ▪ Using an internal finance method is **rarely as tax-efficient** as many external methods; e.g. loan repayments may be treated as a business cost and offset against tax

Examiner Tips and Tricks

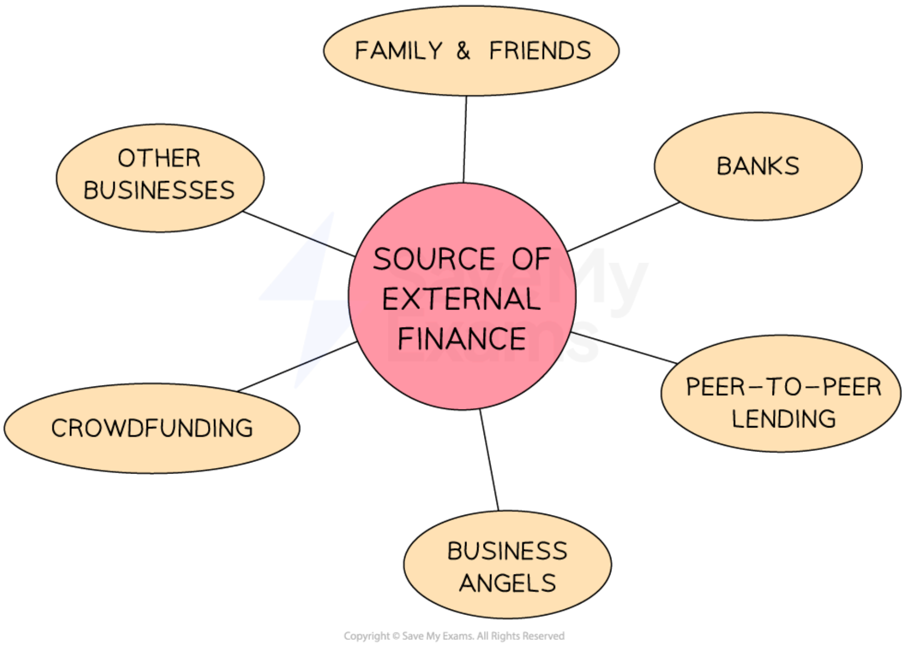
Businesses that have been recently established or own few assets, as well as more established businesses that have made modest profits in recent years, will struggle to raise internal finance.

Weighing up the circumstances of the business is very important when considering the recommendation of internal finance.

Sources of external finance

- **External finance** is sourced from outside of the business

Key sources of external finance



Sources of external finance include family and friends, banks, peer-to-peer funding, business angels, crowdfunding and other businesses

Family and friends

- Small business owners approach close acquaintances to invest in or lend money to a business

Advantages and disadvantages of family and friends as a source of finance

Advantages	Disadvantages
▪ Usually a very **cheap source** of funds ▪ May have no strings attached (e.g. a **share** of the business) and can be provided to the business on very **flexible terms**	▪ **Relationships may be damaged** if the finance is not repaid

Banks

Your notes

- Banks provide several different kinds of loans to businesses
  - **Small business loans** are monies borrowed by a small business from a bank or lender that must be repaid with interest over time
  - **Mortgages** are long-term loans used to buy property, where the property acts as security until fully repaid
  - An overdraft is a short-term way to borrow money from a bank by spending more than is in a current account, up to an agreed limit

Advantages and disadvantages of lending from banks

Advantages	Disadvantages
▪ May offer both **short-term finance** (e.g. **overdrafts**) and **long-term finance** (e.g. loans or **mortgages**) if a business qualifies ▪ Banks are often keen to provide **free advice** and guidance to businesses that use their services ▪ Small sums may be borrowed **unsecured**	▪ A **business plan** is usually required to access bank finance ▪ Banks can be cautious about lending to new, untested businesses ▪ Interest and arrangement fees may be applied ▪ Businesses **must be customers** of the bank (i.e. hold a banking account) to access some loans ▪ For larger amounts, businesses may need to provide **security** to be granted a loan

Peer-to-peer funding

- Individuals with available savings can **pool their savings with others' in a peer investment scheme**, such as Funding Circle

Advantages and disadvantages of peer-to-peer funding

Advantages	Disadvantages
▪ Loans can usually be made available to businesses very quickly ▪ Usually has no strings attached (e.g. a **share** of the business)	▪ **Borrowers are charged a small fee** to access finance in this way and have to **pay interest** in the same way as they would for a bank loan ▪ The individuals who made the money available in the first place receive some of this interest as compensation

Your notes

Business angels

- Some individuals specialise **in making investments** in start-ups or expanding businesses, e.g. Dragons' Den investors

Advantages and disadvantages of business angels

Advantages	Disadvantages
▪ **Business angels** tend to be more willing to take a risk than banks ▪ Angels often offer **advice and guidance** to the businesses in which they invest ▪ Investment is usually for a determined period of time, so owners regain shares in the future	▪ Finding the right business angel (e.g. **with appropriate experience**, expertise or interest) can be challenging ▪ **Networking is vital** when entrepreneurs seek this kind of investment ▪ As business angels own a stake in the business, they may be **involved in decision-making** and will receive a share of business profits

Crowdfunding

- Crowdfunding is a way of raising finance by asking a large number of people to each contribute a small amount of money
- The business owner creates a campaign on a crowdfunding website (such as **Crowdfunder** or **Kickstarter**), explaining their idea and how much money they need
- Members of the public can then choose to invest or donate

Different types of crowdfunding

- **Donation-based**
  - People give money to support a cause or project without expecting anything in return
- **Reward-based**
  - Backers receive something in return, such as an early version of the product
- **Equity-based**
  - People invest in exchange for shares in the business

Advantages and disadvantages of crowdfunding

Advantages	Disadvantages
▪ Creates an **organic customer base**, and the platform	▪ Businesses need to provide a **persuasive business plan** to convince individuals to invest in

provides a form of **free marketing** ▪ A good **credit rating** is not required, so new businesses that lack a trading record can attract funding	their product, as these businesses will be **competing with many other projects online** ▪ There is the potential for negative publicity if the project is not successful in attracting enough crowdfunding capital

Your notes

- Investors are often attracted by incentives
  - Examples of incentives include **samples** or **early access to a product**
    - E.g. in November 2022, well-known Twitter commentator Russ Jones published his long-awaited book funded via Unbound, a crowdfunding publisher

Other businesses

- It may be possible for a business to access finance via a **joint venture** with another business, such as a **key customer** or **supplier**
- Some large businesses **buy shares in other companies** as an investment or with the intention of a **takeover**
  - E.g. in 2018, Mike Ashley, owner of Sports Direct, acquired a stake of just under 30% of Debenhams, a troubled British high street retailer, to eventually take over the company

Advantages and disadvantages of finance from other businesses

Advantages	Disadvantages
▪ May provide access to business processes and market knowledge alongside financing ▪ May get access to large amounts of finance	▪ Profits need to be shared between businesses ▪ Decisions will usually need to be agreed upon by all businesses

Examiner Tips and Tricks

Recently, some sources of finance have been trickier to access. When assessing **external sources of finance** in your answers, acknowledge that businesses may find accessing these sources more challenging and expensive than in previous years. Many small to medium-sized businesses are often **undercapitalised** in their early stages. This has restricted their ability to grow.

Peer-to-peer lending, crowdfunding and sources such as business angels have been able to fill some of the gaps left by changes in the banking industry.

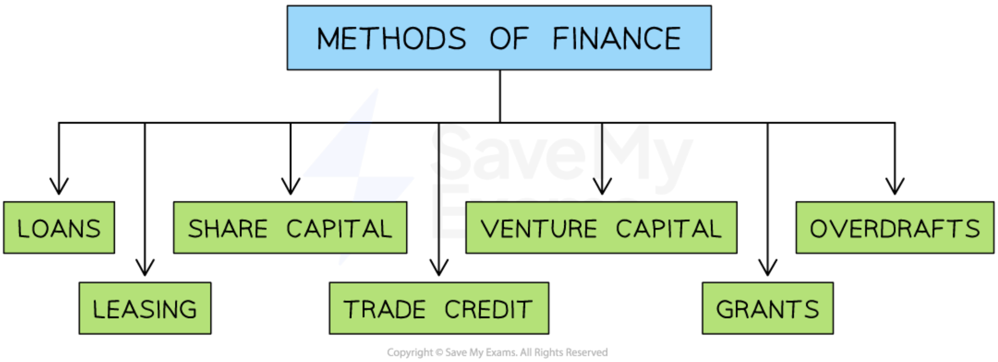
Recognising that a business **may not be able to achieve its objectives** due to an inability to borrow can be a useful evaluative point.

Your notes

Methods of finance

- Businesses have many different methods of finance available to help them achieve their objectives

Key methods of external finance



Several methods of finance are available to businesses, including loans, share capital, venture capital, overdrafts, leasing, trade credit and grants

Loans

- A sum of money is borrowed and repaid (with interest) over a determined period of time
- **Bank loans are usually unsecured** and are typically repaid over two to ten years
- **Mortgages are long-term secured loans**
  - They are typically used by a business to purchase buildings, land or large items of **capital equipment**
- **Debentures are long-term agreements** between a business and a lender to repay a specified amount (with a fixed rate of interest) by a certain date
  - Debenture holders are **creditors** rather than owners of a business and do not hold voting rights

Benefits and drawbacks of loans

Benefits	Drawbacks
▪ Interest rates are fixed for the term of the loan ▪ Repayments are made in equal instalments, helping with budgeting	▪ Interest rates depend on the business's **credit rating** ▪ **Non-current liabilities** are increased in the balance sheet

▪ Businesses can purchase expensive equipment or property without the need for large amounts of capital ▪ Control over decision-making is retained within the business ▪ With debentures, interest is fixed, aiding budgeting	▪ With a mortgage, missed payments may lead to the property being **repossessed** ▪ Failure to repay debentures may deter investors in the future

Your notes

Overdrafts

- An arrangement for a business current account holder to spend **more money** than it has in its account
- A **limit** is agreed, and **interest is charged** only when a business goes overdrawn

Benefits and drawbacks of overdrafts

Benefits	Drawbacks
▪ A **short-term** source of finance that offers significant flexibility and aids **cash flow**	▪ An overdraft may be "**called in**" if the bank is concerned about a business's ability to repay what it owes

Share capital

- Share capital is finance **raised from the sale of shares** in a limited company
- Shareholders are the owners of shares, and they are **entitled to a share of the company's profit** when **dividends** are declared

Benefits and drawbacks of share capital

Benefits	Drawbacks
▪ Large amounts of capital can be raised, especially by public limited companies ▪ Interest is not payable on finance raised in this way	▪ Shareholders usually have a **vote at a company's annual general meeting** (AGM), where they can have a say in the composition of the board of directors

Venture capital

- **Funds provided by specialist investors** to small to medium-sized businesses that have significant potential for growth, e.g. in the technology sector

Benefits and drawbacks of venture capital

Benefits	Drawbacks
▪ Businesses that may have been **refused finance from other sources** may be able to attract investment from less risk-averse venture capitalists	▪ Venture capitalists **usually require a stake in the business** in return for finance and often expect to **exert some control** over the business

Your notes

Leasing

- An asset, such as a piece of machinery or a vehicle, can be used by a business in return for **regular payments**
  - E.g. many businesses lease office equipment, such as photocopiers and IT equipment

Benefits and drawbacks of leasing

Benefits	Drawbacks
▪ The business **does not own the asset** during the period of the lease and so is not responsible for maintenance or repair costs	▪ Leasing is usually **more expensive in the long run** than buying an asset

Trade credit

- Trade credit is an agreement made with suppliers to buy raw materials, components or stock that is paid for at a later date, typically 30 to 90 days later

Benefits and drawbacks of trade credit

Benefits	Drawbacks
▪ Trade credit is usually **interest-free**	▪ **Discounts** for early payment will not be available

Grants

- Governments and industry trusts may offer grants that do not need to be repaid if a business **meets specific criteria**
  - E.g. grants may be available for businesses that create jobs or improve infrastructure in a region

Benefits and drawbacks of grants

Benefits	Drawbacks

▪ Grants **do not need to be repaid**	▪ The business must use the finance for its **intended purpose**

Your notes

Your notes

Limited and unlimited liability

- The most **common forms of business ownership** are sole traders, partnerships, private limited companies, public limited companies and franchises (see subtopic 1.5)
- When an entrepreneur starts a business, they need to consider **what kind of legal structure** they want for their business
- **Sole traders and partnerships** offer no legal protection to the owners, in that the business assets and the owner's personal assets are viewed as being the same (**unlimited liability**)
- The other forms of business ownership offer **limited liability**, in which the assets of the owners are considered to be separate from those of the business

Comparison of unlimited and limited liability

Liability	Description	Implications
Unlimited liability	▪ Sole proprietors and partnership owners are fully responsible for all debts owed by the business ▪ Owners are also legally responsible for any unlawful acts committed by those connected to the business	▪ There is no legal distinction between owners with unlimited liability and the business ▪ As a result, these business owners may have to use their own **personal assets** to pay debts or legal fees ▪ E.g. a sole proprietor may need to sell their home to pay **creditors** if their business fails

Limited liability	▪ Owners (shareholders) of private limited companies and public limited companies can only lose the **original amount** they invested in the business if it fails ▪ Shareholders are not responsible for business debts ▪ In most cases, the shareholders **cannot be held responsible** for unlawful acts committed by those connected with the business	▪ Companies are **incorporated**, and owners are considered a separate legal entity from the business ▪ This means that if a company fails, the owners would **lose their investment** (shares) but would not have to use their assets to meet additional debts or legal fees ▪ E.g. in 2018, construction company Carillion entered **liquidation**, and the shareholders lost their investments

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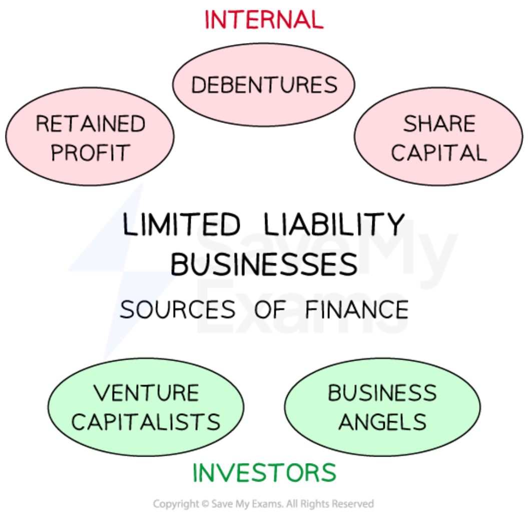
Appropriate finance for limited and unlimited liability businesses

Methods of finance for limited liability businesses

- There are numerous factors that decide **which is the most appropriate form of finance** for limited and unlimited liability businesses
- More often than not, there will be a range or **blend of sources** of finance that a firm can use

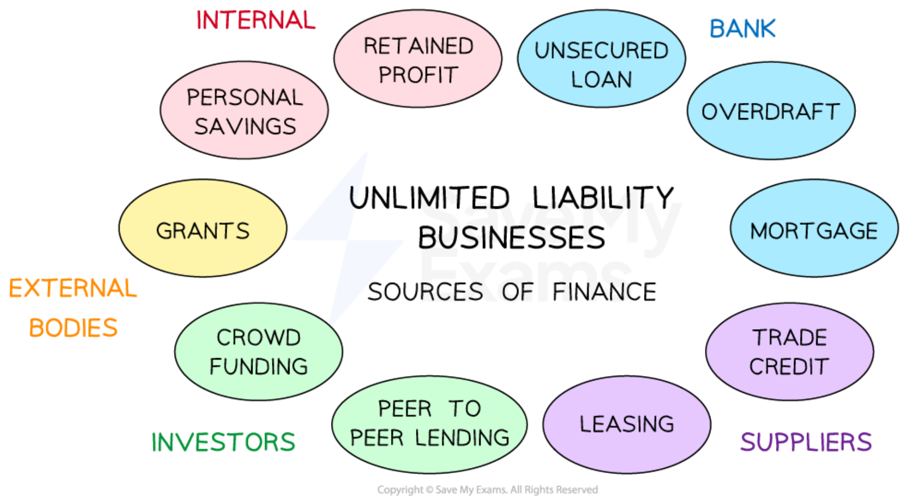
Main methods of finance for limited liability businesses



Methods of finance suitable for limited liability businesses

- Unlimited liability businesses usually **access different sources of funding** than limited liability businesses
- Some sources of funding are **suitable for both types** of businesses, e.g. an unsecured bank loan

Main methods of finance for unlimited liability businesses



Methods of finance suitable for unlimited liability businesses

- Businesses need to consider a range of factors before selecting the most appropriate method(s) of finance

Factors affecting the choice of finance

Factor	Explanation
Why is the finance needed?	▪ **Capital expenditure** on buildings and expensive equipment will usually require a longer-term method of finance, such as a mortgage or the issuing of shares ▪ **Revenue expenditure** (e.g. purchasing raw materials or paying business rates) is more likely to be funded through a short-term method such as trade credit or an overdraft
For how long and how quickly is the finance needed?	▪ For **quick, short-term finance**, businesses may use methods such as overdrafts, trade credit, short-term loans or leasing ▪ If a business needs access to finance over the **longer term**, methods such as a share issue, debentures, mortgages or grants may be more suitable
Who will lend to the business?	▪ Start-ups or struggling businesses may find their choice of finance limited and will **often pay much more to**

Your notes

Your notes

	access financing than more established, stable businesses ▪ Businesses that present **more of a risk** to lenders may choose to raise finance through venture capitalists, business angels or crowdfunding ▪ Unlimited liability businesses, as well as businesses that **own few assets**, often struggle to raise finance, as they're seen as risky
How much will it cost, and how easy is it to access the finance?	▪ Methods of finance that attract **interest**, e.g. loans, mortgages and overdrafts, are less affordable for businesses when interest rates are high ▪ **Interest-free** methods of finance are usually more complex to access, e.g. share issues and grants
What is the legal status of the business?	▪ **Unlimited liability** businesses often struggle to raise finance ▪ They may be small, own few business assets (i.e. to use as **collateral**) or have a limited **trading record** ▪ Lenders (e.g. banks) prefer to lend to more established businesses that own assets ▪ Investors prefer to **invest in limited companies**, as the investors are often able to obtain a share in the business

Examiner Tips and Tricks

You are sometimes required to recommend a suitable source of finance to meet the needs of the business presented in a case study.

Whilst candidates are often able to effectively analyse the benefits and drawbacks of each of the available methods and make a judgement, the **very best** responses consider the **specific circumstances** of the business. The table above provides some structure for that discussion.

Your notes

Using a business plan to obtain finance

- A business plan is a document produced by the owner at start-up, which provides forecasts of items such as sales, costs and cash flow
- The main **aim** of producing a **business plan** is to reduce the risk associated with starting a new business
- Producing a business plan forces the owner to think about every aspect of the business **before they start**, which should **reduce the risk** of failure
  - It shows potential lenders or investors that the **business has done its research**
- Producing a business plan allows lenders (e.g. banks) and other investors to analyse the plan and **make an informed decision** about providing a loan
  - Business angels will analyse whether there is an opportunity to **increase the value of their investment** and make a worthwhile profit
- Having carried out research to support the plan, the business will be **well-informed about the potential problems and the chance of success** and can select the most appropriate source of finance based on this information
- Most high street banks can provide a detailed **template** for business owners to complete when applying for finance

Interpreting cash flow forecasts

- A cash flow forecast is a prediction of the anticipated **cash inflows** and **cash outflows**, typically for a six- to twelve-month period
- A detailed business plan should include a **cash flow forecast** that allows the business owners to identify the business's financial needs

Key terminology and an example

- The **net cash flow** is calculated by subtracting the total outflows from the total inflows
- The **opening balance** is the previous month’s closing balance carried forward
- The **closing balance** is calculated by adding the net cash flow to the opening balance

Example of a start-up's six-month cash flow forecast (£)

	Jan	Feb	Mar	Apr	May	Jun
Inflows						
Cash received from sales	2,600	2,800	3,100	4,600	4,800	5,200

Capital introduced	6,000	0	0	0	0	0
Total inflows	8,600	2,800	3,100	4,600	4,800	5,200
Outflows						
Inventory	1,500	850	950	1,300	1,350	1,400
Wages	2,200	2,200	2,200	2,200	2,200	2,200
Utilities	840	840	840	882	882	882
Loan repayments	0	284	284	284	284	284
Miscellaneous	230	240	250	410	260	260
Total outflows	4,770	4,414	4,524	5,076	4,976	5,026
Net cash flow	3,830	(1,614)	(1,424)	(476)	(176)	174
Opening balance	500	4,330	2,716	1,292	816	640
Closing balance	4,330	2,716	1,292	816	640	814

Your notes

Analysis of the cash flow forecast example

Summary

- Overall, this cash flow forecast **supports an application for the business to borrow £6,000** in January to cover the initial low inflows, significant outflows and **negative net cash flow**
- As sales increase from June, **inflows are greater than outflows**, and the business **has positive cash flow**
- Should a loan be approved, the business will not require any short-term sources of finance, such as overdraft facilities

January

- The cash flow forecast assumes that the bank approves a £6,000 loan in January (capital introduced)
- The opening balance of £500 has been introduced by the owner
- The business is expected to achieve sales of £2,600
- Total inflows are therefore expected to be £8,600 (£2,600 + £6,000)

- Total outflows are expected to be £4,770
- The **net cash flow** is expected to be £3,830 (£8,600 – £4,770)
- January's closing balance is expected to be £4,330 (£3,830 + £500)

February

- The closing balance from January becomes the opening balance for February
- Sales of £2,800 are expected to be the business's total inflows
- Total outflows are expected to be £4,414
- The net cash flow is expected to be –£1,614 (£2,800 - £4,414)
- The closing balance is expected to be £2,716 (–£1,614 + £4,430)

March

- The closing balance from February becomes the opening balance for March
- The business expects to achieve sales of £3,100 as its total inflows
- Total outflows are expected to be £4,524
- The net cash flow is expected to be –£1,424 (£3,100 – £4,524)
- The closing balance is expected to be £1,292 (–£1,424 + £2,716)

April

- The closing balance from March becomes the opening balance for April
- Sales of £4,600 are expected to be the business's total inflows
- Total outflows are expected to be £5,076
- The net cash flow is expected to be –£476 (£4,600 – £5,076)
- The closing balance is expected to be £816 (–£476 + £1,292)

May

- The closing balance from April becomes the opening balance for May
- The business expects to achieve sales of £4,800 as its total inflows
- Total outflows are expected to be £4,976
- The net cash flow is expected to be –£176 (£4,800 – £4,976)
- The closing balance is expected to be £640 (–£176 + £816)

June

- The closing balance from May becomes the opening balance for June
- Sales of £5,200 are expected to be the business's total inflows
- Total outflows are expected to be £5,026

- The net cash flow is expected to be £174 (£5,200 – £5,026)
- The closing balance is expected to be £814 (£174 + £640)

Your notes

Worked Example

Here is a simple three-month cash flow forecast for a small seaside café.

	March	April	May
Inflows			
Sales	46,000	54,000	61,000
Outflows			
Inventory	13,000	13,000	13,000
Wages	28,000	28,000	28,000
Miscellaneous	3,500	4,000	4,000
Total outflows	44,500	45,000	45,000
Net cash flow	1,500	9,000	16,000
Opening balance	4,000	5,500	14,500
Closing balance	5,500	14,500	30,500

The café owner thinks that good weather will increase the volume of customers and decides to appoint another full-time assistant in March. As a result, wages increase to an expected £31,000 per month.

Calculate the closing balances in the cash flow forecast resulting from the changes above [4]

	March	April	May
Inflows			
Sales	46,000	54,000	61,000
Outflows			
Inventory	13,000	13,000	13,000
Wages	**31,000**	**31,000**	**31,000**
Miscellaneous	3,500	4,000	4,000
Total outflows	47,500	48.000	48,000
Net cash flow	(1,500)	6,000	13,000

Opening balance	4,000	2,500	8,500
Closing balance	2,500	8,500	**21,500**

Step 1: Insert the value of the new wages into the relevant space for each month

Step 2: Calculate the new total outflows for each month and insert them into the relevant space for each month

$$\text{March: } £13{,}000 + £31{,}000 + £3{,}500 = 47{,}500$$
$$\text{April: } £13{,}000 + £31{,}000 + £4{,}000 = 48{,}000$$
$$\text{May: } £13{,}000 + £31{,}000 + £4{,}000 = 48{,}000$$

Step 3: Calculate the new net cash flow for each month and insert it into the relevant space for each month

$$\text{March: } £46{,}000 - £47{,}500 = -£1{,}500$$
$$\text{April: } £54{,}000 - £48{,}000 = £6{,}000 \quad [1]$$
$$\text{May: } £61{,}000 - £48{,}000 = £13{,}000$$

Step 4: Calculate and insert the new closing balance for March and carry it forward as the opening balance for April

$$= £4{,}000 + -£1{,}500$$
[1]
$$= £2{,}500$$

Step 5: Calculate and insert the new closing balance for April and carry it forward as the opening balance for May

$$= £2{,}500 + £6{,}000$$
[1]
$$= £8{,}500$$

Step 6: Calculate and insert the new closing balance for May

$$= £8{,}500 + £13{,}000$$
[1]
$$= £21{,}500$$

Note that this one change in the anticipated cost of wages impacts **four other variables**:

- Total outflows
- Net cash flow
- Opening balance (except March's)
- Closing balance

Your notes

Examiner Tips and Tricks

When calculating opening and closing balances, work through each month in turn.

Always double-check your calculations in cash flow forecasts, as one mistake will have a knock-on effect elsewhere and, in some cases, lead you to make inaccurate judgements.

Your notes

Evaluating cash-flow forecasts

Uses and limitations of cash flow forecasts

Uses	Limitations
▪ Cash flow forecasts can **support an application** for a loan and are an integral part of the business plan ▪ They can help identify where the business may experience **cash shortfalls or cash surpluses** so that plans can be made to manage these periods (e.g. arranging an overdraft) ▪ Cash flow forecasts **aid planning** and help a business avoid costly mistakes	▪ Forecasts are usually based on **estimates**, and in reality, inflows and outflows may differ significantly from the estimates ▪ Cash flow forecasts **require appropriate skills, insight, research and time** to prepare and update adequately ▪ **External factors** that can impact inflows and outflows may not be reflected in the cash flow forecast

Examiner Tips and Tricks

Look for clues in the case study about the reliability of the forecast and draw some judgements on the reliability of the forecast presented.

New entrepreneurs find it especially difficult to create accurate forecasts, as they have little experience to draw on. They often make use of free advice and guidance (e.g. from banks) or conduct significant research to support their forecasts. In these cases, the cash flow forecast is likely to be an excellent tool for planning. Where the cash flow forecast is constructed without such care, it can hinder business progress and undermine the business plan as a whole.